

April 24, 2026 04:06 AM GMT

Intel Corporation | North America

Server supply above expectations; what next?

WHAT'S CHANGED

Intel Corporation (INTC.O)	From	To
Price Target	\$56.00	\$73.00

Reaction to earnings

Unchanged Impact to our thesis	↑ Meaningful upside Financial results versus consensus	↑ Meaningful revision higher Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

Intel had substantial upside, as the supply constrained server number is less constrained than we thought. Server demand will stay good, but market share is less clear; on the same trends we see better risk reward elsewhere. Stay EW.

Key Takeaways

- 1Q guidance 3 months ago was too pessimistic and they blew through those numbers
- 2Q guidance also well above - and mgmt says undershipping demand by \$1bn plus
- Server CPU market will remain strong but we think x86 loses share to ARM and Intel loses share to AMD within x86, assuming equal supply
- Positive commentary on 14A prospects but nothing tangible; no real color on Terafab
- This situation will stay good as long as server CPUs are sold out - but we see better risk reward in memory which should stay constrained for longer.

What have we gotten wrong here? We have seen product leadership - or at least parity- in servers as a necessary precursor for Intel stock outperformance, which has obviously been wrong. We - and more importantly, key customers- won't believe in external foundry prospects until Intel proves that it can use its fabs to drive advantage in their flagship business, data center CPU, and that is not currently in evidence. 18A is ramping nicely for notebook client, and that's good, but there is no indication that Intel is positioned to regain performance leadership in desktop until year end, and server until end of CY27.

That's still the most critical factor longer term, but an increasingly supply constrained environment for CPUs - caused in part by a lack of Intel supply (much of the incremental y/y growth in DCAI is price, as well as contribution from ASIC/ Networking) is superceding those concerns. That's all stuff that we talked about in our preview, but the quarter played out a little better - with DCAI meaningfully

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Intel Corporation (INTC.O, INTC US)

Semiconductors | United States of America

Stock Rating	Equal-weight
Industry View	Attractive
Price target	\$73.00
Shr price, close (Apr 23, 2026)	\$66.78
Mkt cap, curr (mm)	\$339,443
52-Week Range	\$70.33-18.97

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (\$) **	0.43	1.12	1.73	2.09
Prior EPS (\$) **	-	0.68	1.34	1.47
P/E	NM	105.4	55.1	43.2
EPS (\$) §	-	0.55	1.12	1.70
Div yld (%)	0.0	0.0	0.0	0.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)

Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	0.13	-	0.29a	0.17	0.28
Q2	(0.10)	0.13	0.21	0.26	0.36
Q3	0.23	0.23	0.28	0.40	0.48
Q4	0.16	0.29	0.34	0.51	0.61

e = Morgan Stanley Research estimates, a = Actual Company reported data

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outperforming our ests (\$545mn above due to strong sever) and helped somewhat by ASIC strength (up 30% q/q, to ~\$325mn) which continues in 2q. Client CPU was also better in Q1 (\$223 above our est), with Intel expecting pricing and inventory accumulation to support that segment vs a PC TAM that seems likely to be down 10%+ in 2026. A dynamic we previewed, although the degree of outperformance looks to be greater than we anticipated. There's a great deal of leverage in this model, given low margins currently, but we still have some cynicism.

Mgmt view is dramatic expansion in CPU TAM as CPU to GPU ratios improve, and potential share gains because of supply. CPU is clearly more important to agentic workloads, but we reject the simply math of CPU to GPU ratios. Intel talked about 8 to 1 GPU to CPU ratios in historic clusters moving to 4 to 1 or lower - but that number is wrong given that Bianca cards have a head node CPU for every two GPUs, plus the host node. It's also a little bit misleading, since the vast majority of Intel CPUs are not in AI data centers, so AI growth is applied to a relatively small portion of the volumes. And there are market share pressures, as NVIDIA is moving some CPU racks from Intel to Vera, Trainium is moving head node from Intel to ARM, both TPU and Trainium are moving host node from x86 to ARM. AMD is likely to favor AMD CPUs. So most of the important CPUs in AI are facing share headwinds.

Intel does have fabs, which is relevant in a shortage, but AMD is likely to articulate that they can get more wafers if they need them; certainly we do not expect AMD to concede share loss over the intermediate term.

The shortage is likely to last for a while, and there is potential for upward revisions over that time frame, but the shortage will be critical to market share prospects until Intel can deliver leadership, which leads us to apply more of a commodity multiple.

Foundry is progressing, though breakeven targets still appear challenging; we would love more detail on Terafab structure. Foundry losses in the quarter remain stubbornly high at \$2.4 bn - roughly the same level as the last 4 quarters despite top line growth. There remains an official forecast of breakeven just 7 quarters from now, which seems challenging to us; there is also a caveat that potential foundry wins would cause investments that would push back that date. The biggest factor in foundry breakeven remains higher priced wafers, which is passed on to the product group, so all of this still comes back to having good CPUs.

Intel confirmed a partnership with Terafab, but we're still not sure what that structure looks like. It is not a foundry relationship, as Tesla (covered by Andrew Percoco) will build the fabs. We would hope that given Tesla's substantial spending aspirations that Intel's value capture is strong, but that remains unclear.

Details on the quarter: March non-GAAP revenue of \$13.577bn came in above the Street and our estimate of \$12.418bn and \$12.699bn, respectively. By segment, Client Computing (CCG) revenue was \$7.727bn (up 1% y/y), Data Center & AI (DCAI) was \$5.052bn (up 22% y/y), and Intel Foundry (IFS) revenue was \$5.421bn (up 16% y/y). Gross margin of 41.0% (up 312bps q/q and 184bps y/y) was ahead of the Street and our estimate of 34.8% and 34.9%, respectively. Non-GAAP EPS of \$0.29 came in ahead of the Street at \$0.02 and our estimate of \$0.03.

Details on guidance: Revenue was guided to \$14.3bn at the midpoint (up 5.3% q/q and 11.2% y/y), above the Street at \$13.105bn and our estimate of \$13.258bn. Gross margin of 39.0% was 121bps above our estimate of 37.8% and 298bps above the Street at 36.0%. EPS guidance of \$0.20 was above the Street at \$0.10 and just below our estimate of \$0.13.

Changes to estimates: We model near the mid-point of guidance for the June quarter, expecting non-GAAP revenues, NG gross margin, and NG EPS of \$14.339bn/39.1%/\$0.21. For CY2026, we model NG revenues, NG gross margin, and NG EPS of \$53.097bn/39.0%/\$1.12 compared to our prior estimates of \$54.286bn/39.1%/\$0.68.

We have missed a large move here at EW, and we aren't trying to be stubborn - we just remain cynical on the longer term prospects especially relative to what the stock has done.. Our view has not changed that much as the stock has rallied materially. We like the cost cutting, the disciplined approach to capex, the renewed focus on product, and a more realistic view of foundry and AI prospects. And some of the recent developments, such as the partnership with NVIDIA, are very positive - but despite both managements insisting that the focus is the products, particularly the NVLINK/CPU integration, bulls immediately assume that there will be a foundry component. The stock issuance to the government essentially was Intel issuing stock to fund CHIPS Act money that was already committed.

That said, this music is likely to keep playing for a while, as there is no indication that supply catches up to demand. We just see better risk reward in areas such as memory that do not have Intel's market share concerns, where we feel more comfortable on duration, and where we see balance sheet transformation. We just don't have that conviction for Intel at these levels.

In terms of our price target our CY27 numbers from up from \$1.34 to \$1.73; maintaining the same target multiple of 42x (high end of peer group due to higher potential for operating leverage) brings the target up from \$56 to \$73.

Morgan Stanley is acting as exclusive financial advisor to AP Grange Holdings, LLC ("AP Grange") in relation to a definitive agreement with Intel Corporation ("Intel"), for Intel to repurchase the 49% equity interest in the joint venture related to Intel's Fab 34 in Ireland not held by Intel, as announced on April 1, 2026. The transaction is subject to customary closing conditions. AP Grange has agreed to pay fees to Morgan Stanley for its financial advisory services. Please refer to the notes at the end of this report.

Risk Reward – Intel Corporation (INTC.O)

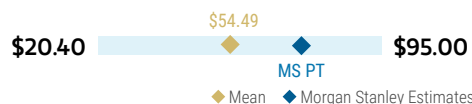
EW as CPU roadmap and foundry strategy remain uncertain

PRICE TARGET \$73.00

~42x EPS CY2027 EPS of \$1.73, 42x is above the high end of the large cap logic semi peer group, reflecting high leverage potential on numbers that are still depressed, and foundry optionality, despite our longer term skepticism

Consensus Price Target Distribution

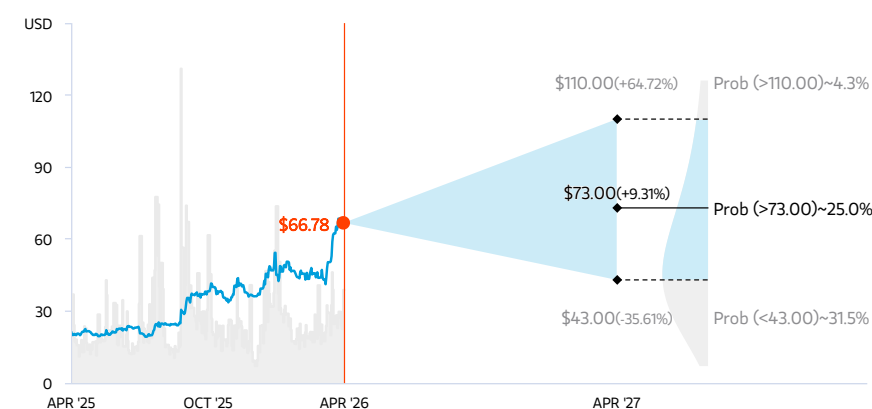
Source: Refinitiv, Morgan Stanley Research



EQUAL-WEIGHT THESIS

Server market shortages are creating a strong near term environment for everyone in CPUs, but at these levels we need more confidence in an enduring market position. We are skeptical about Intel's ability to regain performance leadership in servers, and to generate high returns on foundry investments

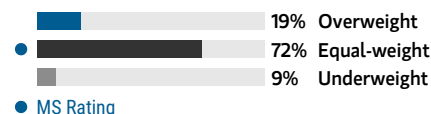
RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 23 Apr 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$110.00

~40x CY2027 EPS of \$2.75

Intel clearly addresses issues with the pipeline and roadmap delivers competitive performance that stabilizes share

- Management executes on product roadmaps helping investor sentiment and the multiple
- Revenues reach \$69bn in CY27, with 50% gross margins

BASE CASE

\$73.00

~42x CY2027 EPS of \$1.73

Server CPU shortages prove to be manageable beyond 12 months, and AMD continues to be in a share gain position.

Given Intel's historic roadmap issues in server; even the foundry successes could prove a distraction relative to the purer goal of making the world's best microprocessors. For us to turn more constructive we would need to see evidence that Intel can regain performance leadership in servers.

BEAR CASE

\$43.00

40x bear case EPS of \$1.07

Cycle turns in 2027 and Intel share losses continue. Data-centric revenue underwhelms due to lackluster product roadmap and foundry dissapoints.

- AMD continues to take share in consumer and cloud segments, with delays in the Intel product portfolio that create risk of erosion in the previously protected enterprise space
- Multiple compresses as Intel is not able to secure meaningful foundry relationships

Risk Reward – Intel Corporation (INTC.O)

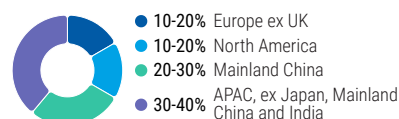
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
GAAP Revenue (\$, mm)	52,853	58,131	64,227	70,446
MW Gross Margin (%)	36.7	40.8	43.6	44.2
MW EPS (\$)	(0.05)	0.67	1.42	1.75
Inventory (\$, mm)	11,618	12,074	11,628	12,635
DOI	123.0	124.8	114.3	114.7

INVESTMENT DRIVERS

- PC and server units and ASPs
- AMD competition in server
- End market growth in data centers, particularly the cloud, enterprise & government, and telco segments

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Foundry partnerships de-risk the story and further improve the multiple
- The company regains lost share in desktop and server following CPU shortages

RISKS TO DOWNSIDE

- AMD competition increasingly becomes more significant, which could lead to further share losses in processors and pressure on ASPs
- Minimal success in foundry leads to an inflated cost structure

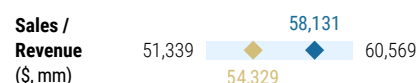
OWNERSHIP POSITIONING

Inst. Owners, % Active	42%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	25.2%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Financial Summary

Exhibit 1: Income Statement Summary

INTC-US: Snapshot for the quarter ended March 2026

Income Statement									
Qtr Results:	Actual			Lst Qtr	QoQ	Last Yr	YoY	Cons.	MSe
Revenue	\$13,577			\$13,674	-0.7%	\$12,667	7.2%	\$12,418	\$12,699
Gross Margin	41.0%			37.9%	312	39.2%	184	34.8%	34.9%
EPS	\$0.29			\$0.10	\$0.19	(\$0.04)	\$0.33	\$0.02	\$0.03
Nxt Qtr Outlook:	Low	High	Midpoint						
Revenue	\$13,800	\$14,800	\$14,300		5.3%	\$12,859	11.2%	\$13,105	\$13,258
Gross Margin			39.0%		-200	29.7%	935	36.0%	37.8%
EPS			\$0.20		(\$0.09)	(\$0.28)	\$0.48	\$0.10	\$0.13

Source: Morgan Stanley Research estimates, Company data

Exhibit 2: Income Statement Variance

MW Financials, \$ in Millions except per share

	Reported F1Q26	MS Est F1Q26	Difference Act vs. Est.	Per share Difference
Total Revenue	13,577	12,699	878	0.17
Cost of Sales	8,007	8,271	-264	0.05
Gross Profit	5,570	4,428	1,142	0.22
Gross Margin	41.0%	34.9%	6.2%	
R&D	2,864	2,758	106	(0.02)
SG&A	1,038	1,236	-198	0.04
Other Opex (inc)	-	-	0	NM
Total Op Expenses	3,902	3,994	-92	0.02
Operating Income	1,668	434	1,234	0.24
Operating Margin	12.3%	3.4%	8.9%	
Income tax provision	224	(58)	282	(0.06)
Net Income	1,485	137	1,348	0.27
EPS	0.29	0.03	0.26	0.26
Diluted Shares Out.	5,083	4,956	127	

Source: Morgan Stanley Research estimates, Company data

Projected Financial Statements

Exhibit 3: Intel: Projected Income Statement

	2024/1C				2025/1C				2026/1C				2024FYA				
	2024/2C				2025/2C				2026/2C				2025FYE				
	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	2024FYA	2025FYE	2026FYE	2027FYE	2028FYE
	FQ124A	F2Q24A	F3Q24A	F4Q24A	F1Q25A	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26E	F3Q26E	F4Q26E					
Revenues	\$ 12,724	\$ 12,833	\$ 13,284	\$ 14,260	\$ 12,667	\$ 12,859	\$ 13,653	\$ 13,674	\$ 13,577	\$ 14,339	\$ 14,867	\$ 15,348	\$ 53,101	\$ 52,853	\$ 58,131	\$ 64,227	\$ 70,446
Q/Q Change	-17.4%	0.9%	3.5%	7.3%	-11.2%	1.5%	6.2%	0.2%	-0.7%	5.6%	3.7%	3.2%	-2.1%	-0.5%	10.0%	10.5%	9.7%
Y/Y Change	8.6%	-0.9%	-6.2%	-7.4%	-0.4%	0.2%	2.8%	-4.1%	7.2%	11.5%	8.9%	12.2%	\$ 53,101	\$ 52,853	\$ 58,131	\$ 64,227	\$ 70,446
Non-GAAP Revenues	\$ 12,724	\$ 12,833	\$ 13,284	\$ 14,260	\$ 12,667	\$ 12,859	\$ 13,653	\$ 13,674	\$ 13,577	\$ 14,339	\$ 14,867	\$ 15,348					
Q/Q Change	-17.4%	0.9%	3.5%	7.3%	-11.2%	1.5%	6.2%	0.2%	-0.7%	5.6%	3.7%	3.2%					
Y/Y Change	8.6%	-0.9%	-6.2%	-7.4%	-0.4%	0.2%	2.8%	-4.1%	7.2%	11.5%	8.9%	12.2%					
COGS	7,507	8,286	11,287	8,676	7,995	9,317	8,435	8,731	8,230	8,962	9,069	9,055	35,756	34,478	35,316	37,118	40,212
Gross Profit	5,217	4,547	1,997	5,584	4,672	3,542	5,218	4,943	5,347	5,377	5,798	6,293	17,345	18,375	22,815	27,109	30,234
Gross Margin	41.0%	35.4%	15.0%	39.2%	36.9%	27.5%	38.2%	36.1%	39.4%	37.5%	39.0%	41.0%	32.7%	34.8%	39.2%	42.2%	42.9%
R&D	4,382	4,239	4,049	3,876	3,640	3,684	3,231	3,219	3,375	3,500	3,550	3,640	16,546	13,774	14,065	14,065	14,768
% of Revs.	34.4%	33.0%	30.5%	27.2%	28.7%	28.6%	23.7%	23.5%	24.9%	24.4%	23.9%	23.7%	31.2%	26.1%	24.2%	21.9%	21.0%
SG&A	1,556	1,329	1,383	1,239	1,177	1,144	1,129	1,174	1,038	1,201	1,185	1,233	5,507	4,624	4,657	4,657	4,890
% of Revs.	12.2%	10.4%	10.4%	8.7%	9.3%	8.9%	8.3%	8.6%	7.6%	8.4%	8.0%	8.0%	10.4%	8.7%	8.0%	7.3%	6.9%
Other OpEx	348.0	943.0	5,622.0	57.0	156.0	1,890.0	175.0	(30.0)	4,070.0	100.0	-	-	6,970.0	2,191.0	4,170.0	-	-
Operating Expenses	6,286	6,511	11,054	5,172	4,973	6,718	4,535	4,363	8,483	4,801	4,735	4,873	29,023	20,589	22,892	18,722	19,658
Operating Income	(1,069)	(1,964)	(9,057)	412	(301)	(3,176)	683	580	(3,136)	576	1,063	1,420	(11,678)	(2,214)	(77)	8,386	10,575
Operating Margin %	-8.4%	-15.3%	-68.2%	2.9%	-2.4%	-24.7%	5.0%	4.2%	-23.1%	4.0%	7.1%	9.3%	34.3%	-29.1%	11.2%	-18.2%	5.0%
Total Interest Income (net) and Other Income	350	(40)	(29)	187	(285)	407	3,891	(242)	(810)	(72)	(72)	(72)	468	3,771	(1,026)	(288)	(288)
PBT	(719)	(2,004)	(9,086)	599	(586)	(2,769)	4,574	338	(3,946)	504	991	1,348	(11,210)	1,557	(1,103)	8,098	10,287
Income Tax Expense (Benefit)	(282)	(350)	7,903	752	301	255	304	671	335	20	40	54	8,023	1,531	449	972	1,234
Effective tax rate	39.2%	17.5%	-87.0%	125.5%	-51.4%	-9.2%	6.6%	198.5%	-8.5%	4.0%	4.0%	4.0%	-71.6%	98.3%	-40.7%	12.0%	12.0%
Net Income	(437)	(1,654)	(16,989)	(153)	(887)	(3,024)	4,270	(333)	(4,281)	484	951	1,294	(19,233)	26	(1,552)	7,126	9,053
Net Income Margin	-3.4%	-12.9%	-127.9%	-1.1%	-7.0%	-23.5%	31.3%	-2.4%	-31.5%	3.4%	6.4%	8.4%	-36.2%	0.0%	-2.7%	11.1%	12.9%
Extraordinary Items, net of tax	521	1,027	13,915	1,168	710	2,485	535	720	4,421	326	230	230	16,631.0	4,450.0	5,208.2	844.8	844.8
Net Income - Non-GAAP	759	83	(1,976)	568	580	(441)	1,023	767	1,485	1,054	1,426	1,768	(1,043)	1,929	5,733	9,071	11,198
Net Income - MW	(476)	(741)	(3,126)	(110)	(170)	(1,211)	682	487	311	683	1,055	1,397	(4,453)	(212)	3,446	7,463	9,390
Net income (loss) attributable to non-cont	(56)	(44)	(350)	(27)	(66)	(106)	207	258	(553)	250	250	250	(477)	293	197	1100	1100
EPS - GAAP	\$ (0.09)	\$ (0.38)	\$ (3.88)	\$ (0.03)	\$ (0.19)	\$ (0.67)	\$ 0.90	\$ (0.12)	\$ (0.73)	\$ 0.05	\$ 0.14	\$ 0.20	\$ (4.38)	\$ (0.06)	\$ (0.34)	\$ 1.15	\$ 1.48
EPS - Non-GAAP	\$ 0.18	\$ 0.02	\$ (0.46)	\$ 0.13	\$ 0.13	\$ (0.10)	\$ 0.23	\$ 0.16	\$ 0.29	\$ 0.21	\$ 0.28	\$ 0.34	\$ (0.24)	\$ 0.43	\$ 1.12	\$ 1.73	\$ 2.09
EPS - MW	\$ (0.11)	\$ (0.17)	\$ (0.73)	\$ (0.03)	\$ (0.04)	\$ (0.28)	\$ 0.15	\$ 0.10	\$ 0.06	\$ 0.13	\$ 0.21	\$ 0.27	\$ (1.04)	\$ (0.05)	\$ 0.67	\$ 1.42	\$ 1.75

Source: Company data, Morgan Stanley Research estimates

Exhibit 4: Intel: Projected Balance Sheet

Base Case															
Intel Corporation Balance Sheet (\$ in millions; fiscal year ends in December)		2025/2C		2025/3C		2025/4C		2026/1C		2026/2C		2026/3C		2026/4C	
		Jun-25		Sep-25		Dec-25		Mar-26		Jun-26		Sep-26		Dec-26	
		F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26E	F3Q26E	F4Q26E							
Assets															
Cash and cash equivalents		\$ 9,693.0	\$ 11,141.0	\$ 14,265.0	\$ 17,247.0	\$ 26,087.7	\$ 28,176.7	\$ 28,669.2	\$ 8,249.0	\$ 14,265.0	\$ 28,669.2	\$ 31,815.6	\$ 35,828.0	\$ 13,813.0	\$ 23,151.0
Short-term investments		11,563.0	19,794.0	23,151.0	15,542.0	15,042.0	15,042.0	15,042.0	23,151.0	15,042.0	15,042.0	13,542.0	12,042.0	13,813.0	23,151.0
Trading assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accounts receivables, net		2,360.0	3,202.0	3,839.0	4,066.0	4,294.2	4,452.4	4,596.4	3,478.0	3,839.0	4,596.4	5,276.3	5,733.3	3,478.0	3,839.0
Inventory		11,377.0	11,489.0	11,618.0	12,426.0	12,944.9	12,092.0	12,073.7	12,198.0	11,618.0	12,073.7	11,628.1	12,635.3	12,198.0	11,618.0
Deferred tax assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-
Assets held for sale		-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other current assets		8,382.0	6,105.0	10,815.0	12,876.0	13,598.6	14,099.6	14,555.5	9,586.0	10,815.0	14,555.5	16,708.6	18,155.9	9,586.0	10,815.0
Total Current Assets		43,375.0	51,731.0	63,688.0	62,157.0	71,967.3	73,862.7	74,936.9	47,324.0	63,688.0	74,936.9	78,970.5	84,394.5	47,324.0	63,688.0
Property and equipment, net		109,510.0	105,047.0	105,414.0	104,458.0	103,085.0	101,612.0	100,039.0	107,919.0	105,414.0	100,039.0	102,731.0	102,623.0	107,919.0	105,414.0
Marketable equity securities		5,383.0	8,667.0	8,512.0	8,481.0	8,481.0	8,481.0	8,481.0	5,383.0	8,512.0	8,481.0	8,481.0	8,481.0	5,383.0	8,512.0
Other long-term investments		-	-	-	-	-	-	-	-	-	-	-	-	-	-
Restricted cash		-	-	-	-	-	-	-	-	-	-	-	-	-	-
Goodwill		23,912.0	23,912.0	23,912.0	20,465.0	20,465.0	20,465.0	20,465.0	24,693.0	23,912.0	20,465.0	20,465.0	20,465.0	24,693.0	23,912.0
Other intangible assets, net		3,057.0	2,877.0	2,772.0	2,722.0	2,526.0	2,430.0	2,334.0	3,691.0	2,772.0	2,334.0	1,950.0	1,566.0	3,691.0	2,772.0
Other long-term assets		7,283.0	12,280.0	7,131.0	7,049.0	7,049.0	7,049.0	7,049.0	7,475.0	7,131.0	7,049.0	7,049.0	7,049.0	7,475.0	7,131.0
Total Assets		192,520.0	204,514.0	211,429.0	205,332.0	213,573.3	213,899.7	213,304.9	196,485.0	211,429.0	213,304.9	219,646.5	224,578.5	196,485.0	211,429.0
Liabilities & Shareholders' Equity															
Short-term debt		6,731.0	2,496.0	2,499.0	2,004.0	2,004.0	2,004.0	2,004.0	3,729.0	2,499.0	2,004.0	2,004.0	2,004.0	3,729.0	2,499.0
Accounts payable		10,666.0	10,268.0	9,882.0	7,159.0	7,795.6	6,549.9	6,539.9	12,556.0	9,882.0	6,539.9	6,871.1	7,466.3	12,556.0	9,882.0
Accrued compensation and benefits		4,249.0	3,756.0	3,990.0	2,824.0	2,824.0	2,824.0	2,824.0	3,343.0	3,990.0	2,824.0	2,824.0	2,824.0	3,343.0	3,990.0
Accrued advertising		-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred income		-	-	-	-	-	-	-	-	-	-	-	-	-	-
Income taxes payable		887.0	825.0	604.0	-	-	-	-	1,756.0	604.0	-	-	-	1,756.0	604.0
Other accrued liabilities		12,433.0	14,952.0	14,600.0	14,898.0	14,898.0	14,898.0	14,898.0	14,282.0	14,600.0	14,898.0	14,898.0	14,898.0	14,282.0	14,600.0
Total Current Liabilities		34,966.0	32,297.0	31,575.0	26,885.0	27,521.6	26,275.9	26,265.9	35,666.0	31,575.0	26,265.9	26,597.1	27,192.3	35,666.0	31,575.0
Long-term debt		44,026.0	44,057.0	44,086.0	43,027.0	49,527.0	49,527.0	47,027.0	46,282.0	44,086.0	47,027.0	43,027.0	35,027.0	46,282.0	44,086.0
Long-term deferred tax liabilities		-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other long-term liabilities		7,777.0	11,430.0	9,408.0	10,431.0	10,431.0	10,431.0	10,431.0	9,505.0	9,408.0	10,431.0	10,431.0	10,431.0	9,505.0	9,408.0
Shareholders' Equity		105,751.0	116,730.0	126,360.0	124,989.0	126,093.7	127,665.9	129,580.9	105,032.0	126,360.0	129,580.9	139,591.4	151,928.2	105,032.0	126,360.0
Total Liabilities & Equity		192,520.0	204,514.0	211,429.0	205,332.0	213,573.3	213,899.7	213,304.9	196,485.0	211,429.0	213,304.9	219,646.5	224,578.5	196,485.0	211,429.0

Exhibit 5: Intel: Project Cash Flow Statement



Intel Corporation

Base Case															
Intel Corporation Cash Flow Statement															
(\$ in millions; fiscal year ends in December)															
	2023/1C	2025/1C	2025/2C	2025/3C	2025/4C	2026/1C	2026/2C	2026/3C	2026/4C						
	Mar-23	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26						
	FQ123A	F1Q25A	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26E	F3Q26E	F4Q26E						
Cash flows provided by (used for) operating activities:															
Net income	\$ (2,768.0)	\$ (887.0)	\$ (3,024.0)	\$ 4,270.0	\$ (333.0)	\$ (4,281.0)	\$ 483.7	\$ 951.1	\$ 1,294.1	\$	(19,233.0)	\$ 26.0	\$ (1,552.1)	\$ 7,126.4	\$ 9,052.8
Adjustments to reconcile net income to net cash															
Depreciation	1,901.0	2,425.0	2,788.0	2,758.0	2,786.0	2,902.0	3,002.0	3,102.0	3,202.0		9,951.0	10,757.0	12,208.0	13,308.0	14,108.0
Stock-based compensation expense	739.0	684.0	664.0	548.0	538.0	621.0	621.0	621.0	621.0		3,410.0	2,434.0	2,484.0	2,884.0	3,284.0
Restructuring and other charges	55.0	-	382.0	(10.0)	104.0	3,965.0	-	-	-		3,491.0	476.0	3,965.0	-	-
Excess tax benefit from share-based payments	-	-	-	-	-	-	-	-	-		-	-	-	-	-
Amortization of intangibles	465.0	249.0	225.0	234.0	241.0	234.0	196.0	96.0	96.0		1,428.0	949.0	622.0	384.0	384.0
(Gains) losses on equity method investments, net	(167.0)	112.0	(502.0)	(221.0)	97.0	72.0	-	-	-		(246.0)	(514.0)	72.0	-	-
Deferred taxes	-	19.0	87.0	17.0	205.0	(9.0)	-	-	-		6,132.0	328.0	(9.0)	-	-
Other operating activities	-	-	482.0	(3,685.0)	191.0	1,090.0	-	-	-		2,252.0	(3,012.0)	1,090.0	-	-
Changes in current assets and liabilities:															
Accounts receivable	286.0	414.0	590.0	(842.0)	(611.0)	(217.0)	(228.2)	(158.2)	(144.0)		(75.0)	(449.0)	(747.4)	(679.9)	(457.0)
Inventory	231.0	(83.0)	182.0	(108.0)	(129.0)	(808.0)	(518.9)	852.8	18.3		(1,105.0)	(138.0)	(455.7)	445.7	(1,007.2)
Prepaid expenses and other assets	-	-	-	-	-	-	(722.6)	(501.0)	(455.9)		-	-	(1,679.5)	(2,153.1)	(1,447.3)
Accounts payable	(771.0)	(240.0)	354.0	(395.0)	578.0	(142.0)	636.6	(1,245.7)	(9.9)		634.0	297.0	(761.1)	331.2	595.2
Accrued liabilities	(1,560.0)	(741.0)	1,763.0	(481.0)	247.0	(1,175.0)	-	-	-		(218.0)	788.0	(1,175.0)	-	-
Income taxes payable and receivable	1,344.0	67.0	(1,405.0)	142.0	201.0	169.0	-	-	-		(356.0)	(995.0)	169.0	-	-
Other changes in assets and liabilities	(1,540.0)	(1,206.0)	(536.0)	319.0	173.0	(1,325.0)	-	-	-		2,223.0	(1,250.0)	(1,325.0)	-	-
Net cash provided by operating activities	(1,785.0)	813.0	2,050.0	2,546.0	4,288.0	1,096.0	3,469.7	3,718.0	4,621.6		8,288.0	9,697.0	12,905.2	21,646.3	24,512.5
Cash flows from investing activities:															
Additions to property, plant and equipment	(7,413.0)	(5,183.0)	(3,550.0)	(2,425.0)	(3,488.0)	(3,636.0)	(3,800.0)	(3,800.0)	(3,800.0)		(23,944.0)	(14,646.0)	(15,036.0)	(16,000.0)	(14,000.0)
Proceeds from capital-related government incentives	-	803.0	161.0	54.0	559.0	107.0	107.0	107.0	107.0		1,936.0	1,577.0	428.0	-	-
Restricted cash	-	-	-	-	-	-	-	-	-		-	-	-	-	-
Acquisitions, net of cash acquired	-	-	-	-	-	(596.0)	-	-	-		-	-	(596.0)	-	-
Purchase of available-for-sale investments	(16,132.0)	(3,386.0)	(2,344.0)	(10,671.0)	(7,918.0)	(7,190.0)	-	-	-		(37,940.0)	(24,319.0)	(7,190.0)	-	-
Maturities and sales of available-for-sale investments	14,173.0	5,327.0	3,248.0	2,389.0	4,423.0	14,448.0	500.0	-	-		42,510.0	15,387.0	14,948.0	1,500.0	1,500.0
Purchases of trading assets	-	-	-	-	-	-	-	-	-		-	-	-	-	-
Maturities and sales of trading assets	-	-	-	-	-	-	-	-	-		-	-	-	-	-
Investments in non-marketable equity investments	-	-	-	-	-	-	-	-	-		-	-	-	-	-
Return of equity method investments	-	-	-	-	-	-	-	-	-		-	-	-	-	-
Proceeds from divestitures	-	1,935.0	-	4,251.0	(29.0)	-	-	-	-		-	6,157.0	-	-	-
Customer Prepayments/Other investing activities	851.0	585.0	399.0	152.0	(113.0)	(40.0)	-	-	-		(818.0)	1,023.0	(40.0)	-	-
Net cash used for investing activities	(8,521.0)	81.0	(2,086.0)	(6,250.0)	(6,566.0)	3,093.0	(3,193.0)	(3,693.0)	(3,693.0)		(18,256.0)	(14,821.0)	(7,486.0)	(14,500.0)	(12,500.0)
Cash flows from financing activities:															
Increase (decrease) in short-term debt, net	(2,930.0)	1,496.0	501.0	(1,997.0)	-	-	-	-	-		-	-	-	-	-
Payments of/Proceeds from long-term debt, net	10,968.0	-	(1,500.0)	(2,250.0)	-	-	6,500.0	-	(2,500.0)		2,975.0	(3,750.0)	4,000.0	(4,000.0)	(8,000.0)
Proceeds from sales of shares	659.0	491.0	-	286.0	(6.0)	427.0	-	-	-		987.0	771.0	427.0	-	-
Repurchase of common stock	-	-	-	-	-	-	-	-	-		-	-	-	-	-
Partner Contributions	449.0	955.0	1,283.0	1,414.0	1,456.0	2,064.0	2,064.0	2,064.0	2,064.0		12,714.0	5,108.0	8,256.0	-	-
Payment of dividends to stockholders	(1,512.0)	-	-	-	-	-	-	-	-		(1,599.0)	-	-	-	-
Other financing activities	(240.0)	(3,138.0)	498.0	7,699.0	4,399.0	(3,697.0)	-	-	-		(3,939.0)	9,458.0	(3,697.0)	-	-
Net cash used for financing activities	7,394.0	(196.0)	782.0	5,152.0	5,849.0	(1,206.0)	8,564.0	2,064.0	(436.0)		11,138.0	11,587.0	8,986.0	(4,000.0)	(8,000.0)
Effect of exchange rate changes on cash and cash equivalents															
	-	-	-	-	-	-	-	-	-		-	-	-	-	-
Cash and cash equivalents, beginning of period	11,144.0	8,249.0	8,947.0	9,693.0	11,141.0	14,265.0	17,247.0	26,087.7	28,176.7		7,079.0	8,249.0	14,265.0	28,669.2	31,815.6
Change in cash flow due to restatement	-	-	-	-	(447.0)	(1.0)	-	-	-		-	(447.0)	(1.0)	-	-
Net increase (decrease) in cash and cash equivalents	(2,912.0)	698.0	746.0	1,448.0	3,571.0	2,983.0	8,840.7	2,089.0	492.6		1,170.0	6,463.0	14,405.2	3,146.3	4,012.5
Cash and cash equivalents, end of period	8,232.0	8,947.0	9,693.0	11,141.0	14,265.0	17,247.0	26,087.7	28,176.7	28,669.2		8,249.0	14,265.0	28,669.2	31,815.6	35,828.0
vs. Balance Sheet	8,232.0	8,947.0	9,693.0	11,141.0	14,265.0	17,247.0	26,087.7	28,176.7	28,669.2		8,249.0	14,265.0	28,669.2	31,815.6	35,828.0
Check	-	-	-	-	-	-	-	-	-		-	-	-	-	-

Source: Company data, Morgan Stanley Research estimates

Exhibit 6:

Base Case														
Intel Corporation Balance Sheet														
(\$ in millions; fiscal year ends in December)														
	2025/2C	2025/3C	2025/4C	2026/1C	2026/2C	2026/3C	2026/4C							
	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26							
	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26E	F3Q26E	F4Q26E							
Assets														
Cash and cash equivalents	\$ 9,693.0	\$ 11,141.0	\$ 14,265.0	\$ 17,247.0	\$ 26,087.7	\$ 28,176.7	\$ 28,669.2		\$ 8,249.0	\$ 14,265.0	\$ 28,669.2	\$ 31,815.6	\$ 35,828.0	\$ 35,828.0
Short-term investments	11,563.0	19,794.0	23,151.0	15,542.0	15,042.0	15,042.0	15,042.0		13,813.0	23,151.0	15,042.0	13,542.0	12,042.0	12,042.0
Trading assets	-	-	-	-	-	-	-		-	-	-	-	-	-
Accounts receivables, net	2,360.0	3,202.0	3,839.0	4,086.0	4,294.2	4,452.4	4,596.4		3,478.0	3,839.0	4,596.4	5,276.3	5,733.3	5,733.3
Inventory	11,377.0	11,489.0	11,618.0	12,426.0	12,944.9	12,092.0	12,073.7		12,198.0	11,618.0	12,073.7	11,628.1	12,635.3	12,635.3
Deferred tax assets	-	-	-	-	-	-	-		-	-	-	-	-	-
Assets held for sale	-	-	-	-	-	-	-		-	-	-	-	-	-
Other current assets	8,392.0	6,105.0	8,015.0	12,876.0	13,598.6	14,099.6	14,555.5		9,586.0	10,815.0	14,555.5	16,708.6	18,155.9	18,155.9
Total Current Assets	43,375.0	51,731.0	63,688.0	62,157.0	71,967.3	73,862.7	74,936.9	47,324.0	63,688.0	74,936.9	78,970.5	84,394.5	84,394.5	
Property and equipment, net	105,510.0	105,047.0	105,414.0	104,458.0	103,085.0	101,812.0	100,039.0		107,919.0	105,414.0	100,039.0	102,731.0	102,623.0	102,623.0
Marketable equity securities	5,383.0	8,667.0	8,512.0	8,481.0	8,481.0	8,481.0	8,481.0		5,383.0	8,512.0	8,481.0	8,481.0	8,481.0	8,481.0
Other long-term investments	-	-	-	-	-	-	-		-	-	-	-	-	-
Restricted cash	-	-	-	-	-	-	-		-	-	-	-	-	-
Goodwill	23,912.0	23,912.0	23,912.0	20,465.0	20,465.0	20,465.0	20,465.0		24,693.0	23,912.0	20,465.0	20,465.0	20,465.0	20,465.0
Other intangible assets, net	3,057.0	2,877.0	2,772.0	2,722.0	2,526.0	2,430.0	2,334.0		3,691.0	2,772.0	2,334.0	1,950.0	1,566.0	1,566.0
Other long-term assets	7,283.0	12,280.0	7,131.0	7,049.0	7,049.0	7,049.0	7,049.0		7,475.0	7,131.0	7,049.0	7,049.0	7,049.0	7,049.0
Total Assets	192,520.0	204,514.0	211,429.0	205,332.0	213,573.3	213,899.7	213,304.9	196,485.0	211,429.0	213,304.9	219,646.5	224,578.5	224,578.5	
Liabilities & Shareholders' Equity														
Short-term debt	6,731.0	2,496.0	2,499.0	2,004.0	2,004.0	2,004.0	2,004.0		3,729.0	2,499.0	2,004.0	2,004.0	2,004.0	2,004.0
Accounts payable	10,666.0	10,268.0	9,882.0	7,159.0	7,795.6	6,549.9	6,539.9		12,556.9	10,268.0	6,539.9	6,871.1	7,466.3	7,466.3
Accrued compensation and benefits	4,249.0	3,756.0	3,990.0	2,824.0	2,824.0	2,824.0	2,824.0		3,343.0	3,990.0	2,824.0	2,824.0	2,824.0	2,824.0
Accrued advertising	-	-	-	-	-	-	-		-	-	-	-	-	-
Deferred income	-	-	-	-	-	-	-		-	-	-	-	-	-
Income taxes payable	887.0	825.0	604.0	-	-	-	-		1,756.0	604.0	-	-	-	-
Other accrued liabilities	12,433.0	14,952.0	14,600.0	14,898.0	14,898.0	14,898.0	14,898.0		14,282.0	14,600.0	14,898.0	14,898.0	14,898.0	14,898.0
Total Current Liabilities	34,866.0	32,297.0	31,575.0	26,885.0	27,521.6	26,275.9	26,265.9	33,666.0	31,575.0	26,265.9	26,997.1	27,192.3	27,192.3	
Long-term debt	44,026.0	44,057.0	44,066.0	43,027.0	49,527.0	49,527.0	47,027.0		46,282.0	44,066.0	47,027.0	43,027.0	35,027.0	35,027.0
Long-term deferred tax liabilities	-	-	-	-	-	-	-		-	-	-	-	-	-
Other long-term liabilities	7,777.0	11,430.0	9,408.0	10,431.0	10,431.0	10,431.0	10,431.0		9,505.0	9,408.0	10,431.0	10,431.0	10,431.0	10,431.0
Shareholders' Equity	105,751.0	116,730.0	126,360.0	124,989.0	126,993.7	127,665.5	125,980.9	105,032.0	121,260.0	129,580.9	139,591.4	151,928.2	151,928.2	
Total Liabilities & Equity	192,520.0	204,514.0	211,429.0	205,332.0	213,573.3	213,899.7	213,304.9	196,485.0	211,429.0	213,304.9	219,646.5	224,578.5	224,578.5	

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

Disclosure Section

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(as of March 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1534	42%	461	50%	30%	698	43%
Equal-weight/Hold	1573	43%	372	40%	24%	716	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	568	15%	89	10%	16%	209	13%
Total	3,679		923			1624	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Intel Corporation (INTC.O) - As of 04/24/26 GMT in USD Industry : Semiconductors



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COMPANY (TICKER)	RATING (AS OF)	PRICE* (04/23/2026)
Joseph Moore		
Advanced Micro Devices (AMD.O)	E (06/09/2024)	\$305.33
Aeva Technologies Inc (AEVA.O)	E (07/19/2021)	\$15.49
Allegro Microsystems Inc (ALGM.O)	O (02/13/2026)	\$43.61
Ambarella Inc (AMBA.O)	O (03/29/2016)	\$61.34
Amkor Technology Inc (AMKR.O)	E (11/08/2023)	\$72.91
Analog Devices Inc. (ADI.O)	O (11/16/2023)	\$403.88
Astera Labs Inc (ALAB.O)	O (05/11/2025)	\$197.54
Broadcom Inc. (AVGO.O)	O (06/09/2024)	\$419.94
GlobalFoundries Inc (GFS.O)	E (10/28/2024)	\$61.54
Intel Corporation (INTC.O)	E (02/22/2023)	\$66.78
IonQ Inc (IONQ.N)	E (04/25/2023)	\$43.63
Marvell Technology Group Ltd (MRVL.O)	E (09/14/2015)	\$165.56
Microchip Technology Inc. (MCHP.O)	E (07/10/2024)	\$90.64
Micron Technology Inc. (MU.O)	O (10/06/2025)	\$481.72
Navitas Semiconductor Corp (NVT.S.O)	U (04/06/2025)	\$18.51
NVIDIA Corp. (NVDA.O)	O (03/16/2023)	\$199.64
NXP Semiconductor NV (NXPI.O)	O (02/11/2025)	\$241.16
ON Semiconductor Corp. (ON.O)	E (05/11/2025)	\$97.78
Qorvo Inc (QRVO.O)	E (10/28/2025)	\$84.65
Qualcomm Inc. (QCOM.O)	U (02/10/2026)	\$133.95
SanDisk Corporation. (SNDK.O)	O (03/03/2025)	\$932.43
Semtech Corp. (SMT.C.O)	E (04/06/2025)	\$105.34
Silicon Laboratories Inc. (SLAB.O)	E (01/19/2021)	\$214.52
Skyworks Solutions Inc (SWKS.O)	E (11/28/2018)	\$61.55
Texas Instruments (TXN.O)	U (04/13/2020)	\$282.23
Wolfspeed, INC (WOLF.N)	NR (04/06/2025)	\$27.55
Lee Simpson		
Arm Holdings plc (ARM.O)	E (04/07/2026)	\$204.61

Cadence Design Systems Inc (CDNS.O)	O (02/14/2024)	\$314.33
Synopsys Inc. (SNPS.O)	E (02/27/2026)	\$456.85

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